

Fortune, November 28, 2005

From Megs To Riches

MULTIPLAYER GAMES ARE taking off, and with them a vast and unexpected new market. People are trading imaginary things in imaginary worlds yet making real money. Roger Parloff of *Fortune* analyses this fast growing trend

"Paul" and I are seated on a plush couch in the atrium-style living room of his starter mansion north of Dallas. A 71-inch flat-screen HDTV dominates the far wall. His Porsche 911 Carrera and his wife's Lincoln Navigator nestle in the garage. It's a good life and would not be a surprising one for a 33-year-old corporate litigator like Paul, except that he quit his law partnership two years ago. Since then, he's been self-employed at an even more lucrative calling: He plays a medieval-themed online videogame called *EverQuest*. Because so many young people now spend so much of their lives immersed in the simulated 3-D worlds of games like this one, the noncorporeal emoluments they accumulate in these environments—virtual swords, cloaks, gauntlets, in-game currency etc.—acquire real value to them, and they will pay real US dollars and euros, yen, won, and yuan to acquire them. So Paul buys and sells virtual items and currency for a living. "The valuation is always difficult," he concedes. "When you think about people paying real cash for something you can't even touch, smell, taste—that's tough."

Launched in 1997 and now owned by Sony Online Entertainment, *EverQuest* is one of the increasingly popular computer games called massively multiplayer online role-playing games (MMO for short). Though *EverQuest* has about 300,000 player-subscribers

worldwide, a 2004 entry into the market called *World of Warcraft* (made by Vivendi subsidiary Blizzard Entertainment) has become the industry's transformative, breakthrough blockbuster. WoW, as it's known, has already garnered 4.5 million subscriptions worldwide and is expected to gross \$500 million this year alone—more than most hit movies ever earn at the box office.

Paul is one of a growing number of people who either make their living or supplement their income through businesses catering to needs that arise only in virtual worlds. Anshe Chung, for instance, is the in-game character, or "avatar," created by a German woman who teaches school near Frankfurt. Since March 2004, Chung has accumulated more than \$200,000 worth of in-game currency and "land holdings" by conducting businesses inside a serene synthetic world called *Second Life*. Chung buys "land" there, builds communities using tools provided by the game developers, and then rents or resells plots to other players. *Second Life* is a world simulated by 1,400 servers run by a San Francisco company called Linden Lab. The money Chung earns is convertible to dollars over an exchange run by Linden Lab.

Estimates of the size of the nascent market in virtual property range widely—from about \$200 million to \$1 billion worldwide—but most industry observers agree that it is increasing at a breakneck pace, possibly 100% year over year. Because it involves commerce between imaginary worlds and the real one (known to some gamers as "meat space"), it raises knotty questions. The things Paul and Anshe trade, for instance, are merely the graphical manifestations of data entered into spreadsheets owned by Sony and Linden Lab. Do they constitute "property" recognizable by US courts? If so, whose?

For the entire article go to

<http://www.fortune.com/fortune/technology/articles/0,15114,1130814,00.html>



Rather than displaying three separate color panels, even the latest DLP[®] televisions, **STILL USE A SPINNING WHEEL** to create the way individual panels reproduce red, blue and green signals.

INTRODUCING THE SONY[®] GRANU WEGA[™] SXRD[™] HIGH-DEFINITION TELEVISION. THE FULL POWER OF HD.

Three color panels. Two million pixels each. One incredible HD experience. Zero wheels. Let us tell you more about SXRD at sony.com/HDTV.

Sony Granu WEGA SXRD. The world's greatest high-definition television.

like no other[™]

▲ Sony's Fan Club

Sony would like to rub its competitor's face in grime. "We've got the superior technology", they'd say. But is the superior technology restricted to just high-end televisions and are the rest still part of the Wege Fan Club?

© 2005 Philips Electronics North America Corporation

Things start uncomplicated. Why change them?

Life is complicated enough. Technology shouldn't add to the problem. So Philips is committed to making technology that makes sense. Technology that is simple as the first it comes in. Technology that's easy to use. Technology designed around the way you live and work. In other words, technology that's pure simplicity.

Join us on our journey at www.philips.com/simplicity

PHILIPS
sense and simplicity

▲ Reverse Engineering

Really, why change things from the way they were easy and simple? All you had to do was holler for anything. In fact, some people think that getting down from the trees was a big mistake in the first place!